

PROCUREMENT AGREEMENT

Agreement Reference: CNTR-1015

Effective Date: August 30, 2023

Expiry Date: August 29, 2026

1. Parties

Supplier: Tesla, Inc.

Address: 3500 Deer Creek Road, Palo Alto, California, 94304, United States

Contact Person: Robert Brown

Phone: +1 (555) 345-6789

Email: robert.brown@tesla.com

Buyer: COSCO Shipping

Address: 789 Maritime Blvd, Shanghai, China

Contact Person: Sarah Lee

Phone: +86 (555) 567-8901

Email: sarah.lee@coscoshipping.com

2. Product Description

Product Name: Wireless Earbuds

Quantity: As specified in individual Purchase Orders (PO).

Quality Standards:

Products must comply with ISO 9001:2015 for quality management systems.

Buyer will conduct inspections within 5 business days of delivery.

3. Base Pricing and Payment Terms

Base Pricing: \$840,000 annually for the supply of Wireless Earbuds.

Discount Structure: A 7% discount applies to Purchase Orders exceeding \$300,000.

Inflation Adjustment: Pricing increases by 2.5% annually starting July 1, 2025.

Payment Terms: Payments are due 30 days from the invoice date.

Late Payment Penalty: A 2% interest per month applies to overdue payments.

4. Delivery Terms

Delivery Timeline: Products must be delivered within 10 business days of PO confirmation.

Delivery Locations: As specified in individual Purchase Orders.

Late Delivery Penalty:

A 1.2% penalty per week of order value for late deliveries.

Maximum penalty: 9% of order value.

5. Contract Renewal and Termination

Renewal Clause:

The contract is eligible for automatic 2-year renewal unless terminated 90 days prior to expiry.

Termination Conditions:

Failure to meet delivery schedules 3 consecutive times.

Quality non-compliance in more than 2 batches.

Mutual termination with 90 days' written notice.

6. Risk Management and Compliance

Supplier must ensure:

Products meet all applicable safety and environmental regulations.

Safe transit standards to prevent damage.

Buyer reserves the right to:

Conduct quarterly audits of product quality and compliance.

7. Contractual Penalties and Quality Assurance

Quality Penalties: A 5% penalty applies for any defective batches.

Late Delivery Penalty: As per Section 4 above.

Quality Guarantees:

Products must achieve a 100% pass rate during inspections.

Consecutive quality failures will trigger a review and potential renegotiation.

8. Confidentiality

Both parties agree to maintain confidentiality of all sensitive business information disclosed during this contract. This obligation survives contract expiration.

9. Dispute Resolution

In the event of disputes, the matter will first be resolved through good-faith negotiations. Unresolved disputes will proceed to arbitration under the laws of California, United States.

10. Governing Law

This agreement is governed by the laws of California, United States.

11. Miscellaneous

This agreement represents the entire understanding between the parties and supersedes prior agreements. Amendments must be made in writing and signed by both parties.

12. Signatures

Supplier Representative:

Name: Robert Brown

Title: Procurement Manager

Signature: Robert Brown

Date: December 19, 2024

Buyer Representative:

Name: Sarah Lee

Title: Supply Chain Director

Signature: Sarah Lee

Date: December 19, 2024